

I placed the stop with my broker and watched as the stock threw back to the breakout and continued lower. It hit my stop and filled at 7.28.

A day after I sold, the stock bottomed and completed a triple bottom, which later confirmed as valid. However, the stock only climbed as high as 9.17 (8.5% above confirmation of the triple top) before dropping below 6. So it wasn't a big gainer, either.

I made a perfect entry but either sold too soon (I could have let price climb up to confirm the triple bottom) or sold too late (during the double bottom throwback). I lost 10% on the trade.

I think the real key to this trade was the lesson stated earlier, that of knowing price was going to rest after a strong uptrend (which it did, for about a year).

CH Energy

I was sorry to see CH Energy (CHG) stock stop trading when it was taken over by another company. I liked the dividends the electric utility paid and capital appreciation sweetened the deal.

This is one of those trades where you don't try to do what I did unless you're an experienced trader. On 3 June 2010, "I bought because this has bounced off what I consider a forming double bottom low, yielding 5.7%, and I have lots of cash that's just sitting there earning zip. I bought it for the yield."

If you look at the chart, you'd see the Eve & Eve double bottom clearly on the chart, bottoming after the 2007–2009 bear market. I bought as the second bottom was forming, so I got in well before confirmation.

- Lesson: Don't try this at home. Often waiting for confirmation is the correct approach.

After I bought, the stock climbed. It looked like a rising staircase with no huge plunges to frighten the children.

On 5 April 2011, I placed a limit order to sell at 52 and it filled. Apparently, 52 was my target. From my notebook: "Sell reason: Hit target. Since the stock is moving up, I decided to sell only half my position."